JK FILES & ENGINEERING LIMITED
CIN: U27104MH1997PLC105955

DIRECTORS' REPORT

To,
The Members of JK FILES & ENGINEERING LIMITED

Your Directors present their **Twenty Eight** Annual Report on the business and Operations of the Company together with the Audited Financial Statements for Financial Year ended March 31, 2025.

1. FINANCIAL HIGHLIGHTS / OPERATIONAL PERFORMANCE

This company manufactures steel files and cutting tool and markets, hands tools and power tools. It is the leading manufacturer of steel files in the world with a domestic market share of ~60%.

Your Company reported a Standalone Gross Revenue of Rs.43170.70 (Previous Year: Rs. 43,472.96 Lakh for FY 2024). The Company registered a profit before the exceptional item of 1654.03 (Previous year profit of Rs. 1,529.81 Lakh). The Company booked a Profit of Rs 1225.59 (Previous Year: Loss after Tax of Rs. 399.19 Lakh).

On a Consolidated basis, during the year under review, the Company reported a Gross Revenue of 182396.78 for the FY 2025 as against Rs. 86,051.83 Lakh for the FY 2024. Profit after Tax on a consolidated basis for FY 2025 was 2703.94 as against Rs 4,682.75 Lakh for FY 2024.

2. MATERIAL CHANGES AND COMMITMENT – IF ANY, AFFECTING FINANCIAL POSITION OF THE COMPANY FROM THE END OF THE FINANCIAL YEAR TILL THE DATE OF THIS REPORT

There has been no material change and commitment affecting the financial performance of the Company which occurred between the end of the Financial Year of the Company to which the financial statements relate and the date of this Report.

3. DETAILS OF OPERATIONS AND STATEMENT OF AFFAIRS

Your Company is in the business of manufactures steel files and cutting tool and markets hands tools and power tools and, a key supplier in tools and hardware supply chain market. Files and cutting tools are going to remain key and a top priority going forward as well. Further, there are significant geographic, new customer and new proposition opportunities that will continue to drive growth in mid and long term.

4. DIVIDEND

In order to conserve the resources of the Company, your Directors do not recommend any dividend for the Financial Year 2024-25.

5. RESERVES

Your company has not transferred any amount to the reserves of the Company.

6. SUBSDIARIES, ASSOCIATES AND JOINT VENTURE COMPANIES

RING PLUS AQUA LIMITED ("RPAL")

This company is in the business of manufacturing ring gears, flexplates and water pump bearings. RPAL operates three manufacturing facilities in India located in the industrial belt of Nashik,

Maharashtra. During FY 2024-25, the Gross Revenue of the company stood at 42906.13(Previous Year: Rs. 44,150.26 Lakh). The Company reported a profit after tax of 563.98 lakh during FY 2023-24 (Previous Year: Profit of Rs. 5,147.80).

JK TALABOT LIMITED ("JKTL")

Your company holds 90% of equity shares of this company and the remaining 10% equity shares are held by M.O.B. Mondelin SAS, France.

This company manufactures files and rasps at its plant at Chiplun in Ratnagiri District, in the State of Maharashtra. During FY 2024-25, the Gross Revenue of the company stood at 3170.01 Lakh (Previous Year: Rs. 2,790.70 Lakh). The Company reported a 28.30 during FY 2024-25 (Previous Year: loss of Rs. 65.37 Lakh).

SCISSORS ENGINEERING PRODUCTS LIMITED ("SEPL")

The company does not have any operation. The Gross Revenue of the company stood at 1.01 and the Company reported a gross revenue Rs. 0.90 Lakh during the current year.

Maini Precision Products Limited ("MPPL")

During the year ended 2023-24, the Ring Plus Aqua Limited, a subsidiary of the Company, acquired 59.25% stake in MPPL for a consideration of approximately Rs. 682 Crore. MPPL, recognised as one of the key exporters of precision components, operates in 25 countries and supplies products to the top 10 global auto OEMs. It caters to Tier 1 manufacturers across the Aerospace, Defence, Automotive and Industrial sectors.

During FY 2024-25, the Gross Revenue of the company stood at 98530.64 (Previous Year: Rs. 93481.42 Lakh).
During the year under review, MPPL made a profit after tax of 4281.05 (Previous Year Profit: Rs. 6,047.38 Lakh).

7. CONSOLIDATED ACCOUNTS

In accordance with the requirements of Indian Accounting Standard (Ind AS 110) – Consolidated Financial Statements, the Consolidated Accounts of the Company have been prepared. Pursuant to Section 129(3) of the Companies Act, 2013 read with Rules made thereunder, a statement containing salient features of the financial statements of Subsidiaries/Associate Companies/Joint Ventures is given in Form AOC-1 and forms an integral part of this Annual Report.

8. AUDITORS

a. STATUTORY AUDIT

M/s Price Waterhouse Chartered Accountants LLP (ICAI Firm Registration Number FRN 012754N/N500016), registered with the Institute of Chartered Accountants of India, were appointed as the Statutory Auditor of the Company for the period of five consecutive years at the Annual General Meeting (AGM) of the members held on May 14, 2022 to hold office from the conclusion of the 25th Annual General meeting of the company till the conclusion of the 30th Annual General meeting at a remuneration mutually agreed upon by the Board of Directors and the Statutory Auditors.

The Statutory Auditors' Report forms part of the Annual Report. There is no audit qualification, reservation or adverse remark for the year under review. There was no instance of fraud during the

year under review, which required the Statutory Auditors to report to the Audit Committee and / or Board under Section 143(12) of Act and Rules framed thereunder.

b. SECRETARIAL AUDIT

Pursuant to the provisions of Section 204 of the Companies Act, 2013 and rules made thereunder, the Company has appointed M/s. DM & Associates Company Secretaries LLP to undertake the Secretarial Audit Report of the Company. The Secretarial Audit Report is included as **Annexure – A** and forms an integral part of this Report. There is no secretarial audit qualification for the year under review.

9. INTERNAL CONTROL SYSTEM AND THEIR ADEQUACY

Your Company has an effective internal control and risk-mitigation system, which is constantly assessed and strengthened with new / revised standard operating procedures. The Company has entrusted the internal and operational audit to M/s. Ernst & Young LLP, a reputed firm of Chartered Accountants.

The thrust of the internal audit process is to test and review of controls, independent appraisal of risks, business processes and benchmarking internal controls with best practices. The Company has a robust Management Information System, which is an integral part of control mechanism. The Board of Directors and Statutory Auditors are periodically apprised of the internal audit findings and corrective actions taken.

10. SECRETARIAL STANDARDS

The Company has complied with the applicable Secretarial Standards issued by the Institute of Company Secretaries of India.

11. REPORTING OF FRAUDS

There was no instance of fraud during the year under review, which required the Statutory Auditors to report to the Audit Committee and / or Board under Section 143(12) of Act and Rules framed thereunder.

12. SHARE CAPITAL

The Authorised Share Capital as on March 31, 2025 stood at Rs. 77 Crore (Rupees Seventy-Seven Crore only) divided into 8,50,00,000 Equity Shares of Rs. 2/- each and 60,00,000 Preference Shares of Rs.100/- each.

The paid-up Share Capital as on March 31, 2025 was Rs. 10,48,87,896 divided into 5,24,43,948 Equity Shares of Rs. 2/- each and 50,00,000 (Fifty lakh) Preference shares of Rs. 100/- each.

13. PUBLIC DEPOSITS

The Company has not accepted any public deposits under Section 73 of the Companies Act, 2013 during the year under review.

14. PARTICULARS OF LOANS, GUARANTEES OR INVESTMENTS

Details of Loans, Guarantees and Investments covered under the provisions of Section 186 of the Companies Act, 2013 are given in the notes to the Financial Statements.

15. DIRECTORS

a. Changes in Directors and Key Managerial Personnel

i. Directors:

In accordance with the provisions of Section 152 of the Companies Act, 2013 and the Company's Articles of Association, Shri Gautam Hari Singhania (DIN: 00020088), Director of the Company retires by rotation at the forthcoming Annual General Meeting and, being eligible offer himself for re-appointment.

During the year under review, Mr. Ajoy Mehta was appointed as an Independent Director on the Board of Directors of the Company w.e.f. January 20, 2025.

During the year, Four Board Meetings were held, the dates and the attendance of the Directors is given below.

Directors	02.05.2024	02.08.2024	28.10.2024	28.01.2025
Ravikant Uppal	✓	✓	✓	✓
Rashmi Mundada	✓	✓	✓	✓
Balasubramanian V	✓	✓	✓	✓
Gautam Hari Singhania	LOA	LOA	LOA	✓
Vijay Bhatt	✓	✓	✓	✓
Satish Sekhri	✓	✓	✓	✓
Ajoy Mehta	NA	NA	NA	✓

ii. DECLARATION BY INDEPENDENT DIRECTORS

The Independent Directors has given a declaration that they meet the criteria of independence as laid down under Section 149(6) of the Companies Act, 2013. They have also confirmed that they have complied with Schedule IV of the Act and the Company's Code of Conduct.

The Ministry of Corporate Affairs vide Notification Number G.S.R. 804(E) dated October 22, 2020 and effective from December 01, 2020 has introduced an amendment relating to inclusion of names of Independent Directors in the Data Bank maintained by Institute of Corporate Affairs (IICA).

All Independent Directors of your Company are registered with IICA.

iii. Key Managerial Personnel

As on March 31, 2025 your company has the following KMPs:

Sr. No.	Name of the Person	Designation	Date of the Appointment
1	Shri Balasubramanian V	Managing Director	09/11/2020
2	Shri Arun Agarwal	Chief Financial Officer	17/11/2021
3	Shri Hiren Sonawala	Company Secretary	23/12/2024

Changes in the Key Managerial Personnel during the Financial Year 2024-25:

Sr. No.	Name of the Person	Designation	Date of the Appointment
1	Shri Hiren Sonawala	Company Secretary	23/12/2024(Appointment)
2	Shri Akshat Chechani	Company Secretary	28/06/2024 (Cessation)

b. Formal Annual Evaluation

Pursuant to the provisions of the Companies Act, 2013, the Board has carried out an evaluation of its own performance, its Committees and Directors individually. A structured questionnaire was prepared after circulating the draft forms, covering various aspects of the Board's functioning such as adequacy of the composition of the Board and its Committees, Board culture, execution and performance of specific duties, obligations and governance.

The Independent Directors of the Company met on March 27, 2025, without the presence of Non-Independent Directors and members of the management to review the performance of Non-Independent Directors and the Board of Directors as a whole; review the performance of the Chairman of the Company and to assess the quality, quantity and timeliness of flow of information between the management and the board of directors. The Directors expressed their satisfaction with the evaluation process.

16. COMMITTEES OF THE BOARD

The Board has constituted the following committees:

A. Audit Committee

Pursuant to Section 177 of the Companies Act, 2013 and Rule 6 of the Companies (Meeting of Board and its Powers) Rule, 2014, the Audit Committee was constituted. The composition of the Committee as on the date of this report is as under:

1. Shri Vijay Bhatt : Independent Director, Chairman
2. Shri Satish Sekhri : Independent Director, Member
3. Shri Balasubramanian V. : Managing Director, Member

The terms of reference of the Audit Committee are available on the website of the company viz: www.jkfilesandengineering.com.

Details of the Audit Committee Meetings held and Attendance of Directors at the Meetings is given below:

SN	Name of Director	DATE OF MEETING			
		02.05.2024	02.08.2024	28.10.2024	28.01.2025
1.	Shri Vijay Bhatt	✓	✓	✓	✓
2.	Shri Satish Sekhri	✓	✓	✓	✓
3.	Shri Balasubramanian V.	✓	✓	✓	✓

B. Nomination and Remuneration Committee

Pursuant to Section 178 of the Companies Act, 2013 and the Rule 6 of the Companies (Meeting of Board and its Powers) Rules, 2014, the Nomination and Remuneration Committee has been constituted and a policy has been framed which lays down a framework in relation to remuneration of Directors, Key Managerial Personnel and Senior Management of the Company. This policy also lays down criteria for selection and appointment of Board Members. The composition of the Committee as on the date of this report is as under:

1. Shri Satish Sekhri : Independent Director, Chairman
2. Shri Ravikant Uppal : Independent Director, Member
3. Shri Rashmi Mundada : Independent Director, Member

The terms of reference of the Nomination and Remuneration Committee are available on the website of the company viz: www.jkfilesandengineering.com.

The Committee met twice during the period under review. The details of the same are given below:

SN	Name of Director	DATE OF MEETING	
		30.04.2024	28.10.2024
1.	Shri Satish Sekhri	✓	✓
2.	Shri Ravikant Uppal	✓	✓
3.	Shri Rashmi Mundada	✓	✓

C. Corporate Social Responsibility Committee

Pursuant to Section 135 of the Companies Act, 2013 and Companies (Corporate Social Responsibility) Rules, 2014, the Board of Directors of the Company constituted the Corporate Social Responsibility (CSR) Committee and spent an amount of ₹ 85 Lakh in pursuance of its Corporate Social Responsibility. A report on CSR activities and the contents of Corporate Social Responsibility policy annexed as **Annexure B.** Pursuant to Section 135(1) of the Companies Act, 2013, the reconstituted composition of CSR Committee as on the date of this report is as under:

1. Smt. Rashmi Mundada : Chairperson, Independent Director
2. Shri Vijay Bhatt : Member, Independent Director
3. Shri Satish Sekhri : Member, Independent Director

The Committee meet opce during the year under review on March 27, 2025 with all the members presept ip the meetipg.

The CSR Policy of the Company is also available on www.jkfilesandengineering.com.

D. Stakeholders Relationship Committee

The Composition of Stakeholders Relationship Committee is as under:

1. Shri Satish Sekhri : Chairman, Independent Director
2. Shri Vijay Bhatt : Member, Independent Director
3. Shri V. Balasubramanian : Member, Managing Director

The Committee did not meet during the period under review.

E. Risk Management Committee

The Composition of the Risk Management Committee is as under:

1. Smt. Rashmi Mundada : Chairperson, Independent Director
2. Shri Vijay Bhatt : Member, Independent Director
3. Shri Satish Sekhri : Member, Independent Director
4. Shri V. Balasubramanian : Member, Managing Director

The Committee did not meet during the period under review.

F. Committee of Directors

For administrative convenience, a committee of the Board of Directors of the Company was constituted by the Board of Directors of the Company for handling day-to-day affairs of the Company.

The Composition of the Committee is as under:

a) Shri V. Balasubramanian : Non-Executive Director, Chairman
b) Smt. Rashmi Mundada : Independent Director, Member

The Committee met two times during the period under review on May 02, 2024 and January 28, 2025. The meetings were attended by the both the Members.

G. IPO Committee

The committee did not meet during the year under review. The Committee comprises of Shri Balasubramanian V and Shri Ravikant Uppal.

17. VIGIL MECHANISM FOR DIRECTORS AND EMPLOYEES

Pursuant to Section 177(9) of the Companies Act, 2013, your company has formulated the Vigil Mechanism / Whistle Blower Policy to report genuine concerns to be disclosed. The policy is displayed on the Company's website (www.jkfilesandengineering.com).

18. RELATED PARTY TRANSACTIONS

All transactions entered with related parties for the year under review are on arm's length basis and in the ordinary course of business and that provisions of Section 188(1) of the Companies Act, 2013 are not attracted. The Company has developed a Related Party Transactions Manual and Standard operating procedures for purpose of identification and monitoring of such transactions.

19. RISK MANAGEMENT POLICY

The Company is exposed to risk from market fluctuations of foreign exchange, interest rates, commodity prices, business risks, compliance risks and people risk. These risks are assessed and steps as appropriate are taken to mitigate the risks. There are no risks which in the opinion of the Board of Directors threaten the existence of the Company.

20. DIRECTORS' RESPONSIBILITY STATEMENT

Pursuant to Section 134(3)(c) of the Companies Act, 2013, the Board of Directors of the Company hereby state and confirm that:

To the best of their knowledge and belief and according to the information and explanations obtained by them, your Directors make the following statements in terms of Section 134(3)(c) of the Companies Act, 2013:

a. that in the preparation of the annual accounts for the year ended March 31, 2025, the applicable accounting standards have been followed along with proper explanation relating to material departures, if any;
b. that the directors have selected such accounting policies and applied them consistently and made judgments and estimates that are reasonable and prudent so as to give a true and fair view of the state of affairs of the Company as at March 31, 2025 and of the loss of the

Company for the year ended on that date;

c. that the directors have taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of the Companies Act, 2013 for safeguarding the assets of the Company and for preventing and detecting fraud and other irregularities;
d. that the directors have prepared the annual accounts on a going concern basis; and
e. that the directors have devised proper systems to ensure compliance with the provisions of all applicable laws were in place and were adequate and operating effectively.

21. CONSERVATION OF ENERGY, TECHNOLOGY ABSORPTION AND FOREIGN EXCHANGE EARNINGS AND OUTGO

The details as prescribed under Section 134(3)(m) of the Companies Act, 2013 read with Rule 8 of the Companies (Accounts) Rules, 2014, on the conservation of energy, technology absorption and foreign exchange earnings and outgo is annexed herewith as **Annexure - C** to this Report.

22. ANNUAL RETURN

The details forming part of the Annual Return are displayed on the Company's website (www.jkfilesandengineering.com).

23. PARTICULARS OF EMPLOYEES

Since your company is not a listed company, the provisions of Section 197(12) of the Companies Act, 2013 read with Rule 5 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014 in respect of employees of the Company for the year ended March 31, 2025 is not applicable.

24. DISCLOSURE UNDER SEXUAL HARASSMENT ACT

As required by the Sexual Harassment of Women at Workplace (Prevention, Prohibition & Redressal) Act, 2013, the Company has complied with provisions relating to the constitution of Internal Complaints Committee. Details of complaints received during the year under review under POSH Act are as under:

(a) number of complaints of sexual harassment received in the year: NIL
(b) number of complaints disposed off during the year: NIL
(c) number of cases pending for more than ninety days: NIL

25. DISCLOSURES

No application has been made under the Insolvency and Bankruptcy Code. The requirement to disclose the details of application made or any proceeding pending under the Insolvency and Bankruptcy Code, 2016 (31 of 2016) during the year along with their status as at the end of the financial year is not applicable.

The requirement to disclose the details of difference between amount of the valuation done at the time of onetime settlement and the valuation done while taking loan from the Banks or Financial Institutions along with the reasons thereof, is not applicable.

26. DISCLOSURE UNDER MATERNITY BENEFIT ACT, 1961

The Company has complied with the provisions of Maternity Benefit Act, 1961 during the year under review.

27. ACKNOWLEDGEMENT

The Directors express their appreciation to all the employees for their dedication and commitment. The Directors also extend their appreciation to the Banks for their continued support and co-operation.

For and on behalf of the Board of Director
JK Files & Engineering Limited



RAVIKANT UPPAL
CHAIRMAN
DIN: 00025970



BALASUBRAMANIAN V.
MANAGING DIRECTOR
DIN: 05222476

Mumbai
May 07, 2025

DM & ASSOCIATES COMPANY SECRETARIES LLP

(LLPIN NO. AAI-4743)

[Firm Registration No: L2017MH003500] [Peer Review Certificate: 758/2020]

REGD. OFFICE: # 205, NADIADWALA MARKET, PODDAR ROAD, MALAD (EAST), MUMBAI-400097

Tel No. 022-28443641 Email: dmassociatesllp@gmail.com

Annexure A

Form No. MR-3

Secretarial Audit Report

[Pursuant to Section 204(1) of the Companies Act, 2013 and Rule No. 9 of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014]

For the Financial Year Ended March 31, 2025

To,
The Members,
JK FILES & ENGINEERING LIMITED
NEW HIND HOUSE, NAROTTAM MORARJEE MARG,
BALLARD ESTATE,
MUMBAI - 400001.

Dear Members,

We have conducted the Secretarial Audit of the compliance of applicable statutory provisions and the adherence to good corporate practices by **JK FILES & ENGINEERING LIMITED** (hereinafter called "the Company"). Secretarial Audit was conducted in a manner that provided us a reasonable basis for evaluating the corporate conducts / statutory compliances and expressing our opinion thereon.

Based on our verification of the Company's books, papers, minute books, forms and returns filed and other records maintained by the Company and also the information provided by the Company, its officers, agents and authorized representatives during the conduct of secretarial audit, we hereby report that in our opinion, the Company has, during the audit period covering the financial year ended March 31, 2025, complied with the statutory provisions listed hereunder and also that the Company has proper Board-processes and compliance mechanism in place to the extent, in the manner and subject to the reporting made hereinafter:

We have examined the books, papers, minute books, forms and returns filed and other records maintained by the Company for the financial year ended on March 31, 2025 according to the provisions of:

1. The Companies Act, 2013 (the Act) and the rules made there under;
2. The Securities Contracts (Regulation) Act, 1956 ('SCRA') and the rules made there under: **NA**;
3. The Depositories Act, 1996 and the Regulations and bye-laws framed there under;
4. The provisions of Foreign Exchange Management Act, 1999 and the rules and regulations made there under to the extent of Foreign Direct Investment, Overseas Direct Investment and External Commercial borrowings: **NA**;
5. Provisions of Regulations and Guidelines prescribed under the Securities and Exchange Board of India Act, 1992 ('SEBI Act') were not applicable to the Company during the Audit Period.

We report that we have relied on the compliance certificates issued by its officers and taken on record by the Board of Directors at their meeting(s) for systems and mechanism formed by the Company for compliances under other applicable Acts, Laws and Regulations to the Company and on examination of the relevant documents and records in pursuance thereof on test-check basis the Company has complied with the laws applicable specifically to the Company as stated below. For Income tax laws and compliance with applicable accounting standards we have relied on the Audit report issued by the Statutory Auditors. The following are the major head / group of Acts, Laws and Regulations as applicable to the Company:

i. Factories Act, 1948;
ii. Industries (Development & Regulation) Act, 1951
iii. Labour Laws and other incidental laws related to labour and employees appointed by the Company either on its payroll or on contractual basis as related to wages, gratuity, provident fund, ESIC, compensation etc.;
iv. Acts prescribed under prevention and control of pollution
v. Acts prescribed under Environmental protection;

vi. Acts as prescribed under Direct Tax and Indirect Tax;
vii. Land Revenue laws of respective States
viii. Labour Welfare Act of respective States;
ix. Trade Marks Act 1999 & Indian Copy Right Act 1957;
x. The Legal Metrology Act, 2009;

We have also examined compliance with the applicable clauses of the Secretarial Standards issued by The Institute of Company Secretaries of India.

During the period under review the Company has complied with the provisions of the Act, Rules, Regulations, Guidelines, Standards, etc. mentioned above.

We further report that the Board of Directors of the Company is duly constituted with proper balance of Executive Directors, Non - Executive Directors and Independent Directors. There was no change in the composition of the Board of Directors during the year.

Adequate notice is given to all Directors to schedule the Board Meetings, agenda and detailed notes on agenda were sent at least seven days in advance and for meeting(s) convened under shorter notice were in compliance with section 173(3) of the Companies Act, 2013 and a system exists for seeking and obtaining further information and clarifications on the agenda items before the meeting and for meaningful participation at the meeting.

Majority decision is carried through while there were no dissenting members' views which are to be captured and recorded as part of the minutes.

We further report that during the audit period following specific events took place:

The Board of Directors, at its meeting held on May 02, 2024, approved a Composite Scheme of Arrangement under Sections 230 to 232 read with Section 66 and other applicable provisions of the Companies Act, 2013. The Scheme involves JK Files & Engineering Limited (Demerged Company 1), JKFEL Tools and Technologies Limited (Resulting Company 1 / Transferee Company / Demerged Company 2), Ring Plus Aqua Limited (Transferor Company 1), Maini Precision Products Limited (Transferor Company 2), and Ray Global Consumer Enterprise Limited (Resulting Company 2), along with their respective shareholders. The Appointed Date for the Scheme is April 01, 2024. In accordance with the order of the Hon'ble NCLT dated October 24, 2024, the requirement to hold a meeting of equity shareholders was dispensed with. Meetings of secured and unsecured creditors were convened on December 20, 2024, and the Scheme was duly approved.

The above Scheme provided for the demerger of the engineering business of JK Files & Engineering Limited (including through its subsidiaries RPAL and JK Talabot Limited) into JKFEL Tools and Technologies Limited; amalgamation of Ring Plus Aqua Limited and Maini Precision Products Limited with JKFEL Tools and Technologies Limited; demerger of the aerospace business of JKFEL Tools and Technologies Limited into Ray Global Consumer Enterprise Limited; and reduction and cancellation of the share capital of the involved companies held by Raymond Limited.

For DM & Associates Company Secretaries LLP
Company Secretaries
DINESH KUMAR DEORA
Digitally signed by DINESH KUMAR DEORA
Date: 2025.05.06 12:06:19 +05'30'
Dinesh Kumar Deora
Partner
FCS NO 5683
CP NO 4119
UDIN: F005683G000283554

Place: Mumbai
Date: May 06, 2025

Note: This report is to be read with our letter of even date that is annexed as Annexure - I and forms an integral part of this report.

DM & ASSOCIATES COMPANY SECRETARIES LLP

(LLPIN NO. AAI-4743)

[Firm Registration No: L2017MH003500] [Peer Review Certificate: 758/2020]

REGD. OFFICE: # 205, NADIADWALA MARKET, PODDAR ROAD, MALAD (EAST), MUMBAI-400097

Tel No. 022-28443641 Email: dmassociatesllp@gmail.com

ANNEXURE - I

To
The Members,
JK FILES & ENGINEERING LIMITED
NEW HIND HOUSE, NAROTTAM MORARJEE MARG,
BALLARD ESTATE,
MUMBAI - 400001

Our report of even date is to be read along with this letter:

1. Maintenance of secretarial records is the responsibility of management of the Company. Our responsibility is to express an opinion on these secretarial records based on our audit.

2. We have followed the audit practices and processes as were appropriate to obtain reasonable assurance about the correctness of the contents of the Secretarial records. The verification was done on test basis to ensure that correct facts are reflected in secretarial records. We believe that the processes and practices, followed provide a reasonable basis for our opinion.

3. We have not verified the correctness and appropriateness of financial records and books of accounts of the Company.

4. Wherever required, we have obtained the Management Representation about the compliance of laws, rules and regulations and happening of events, etc.

5. The compliance of the provisions of corporate and other applicable laws, rules and regulations, standards is the responsibility of the management. Our examination was limited to the verification of procedures on test basis.

6. The Secretarial Audit Report is neither an assurance as to the future viability of the Company nor of the efficacy or effectiveness with which the management has conducted the affairs of the Company.

For DM & Associates Company Secretaries LLP
Company Secretaries
DINESH KUMAR DEORA
Digitally signed by DINESH KUMAR DEORA
Date: 2025.05.06 12:06:44 +05'30'
Dinesh Kumar Deora
Partner
FCS NO 5683
CP NO 4119
UDIN: F005683G000283554

Place: Mumbai
Date: May 06, 2025

Annexure B

ANNUAL REPORT ON CSR ACTIVITIES

Brief outline of the Company's CSR Policy:
The CSR Policy was approved by the Board of Directors at its Meeting held on April 28, 2014 and has been uploaded on the Company's webpage. A gist of the programs that the Company can undertake under the CSR policy is mentioned below. The CSR Policy was updated Consequent to the recent amendments in the provisions on the Meeting dated July 26, 2021.

1. The composition of the CSR Committee:

Name of Director	Designation / Nature of Directorship	Number of meetings of CSR Committee held during the year	Number of meetings of CSR Committee attended during the year
Smt. Rashmi Mundada	Independent Director, Chairperson	0	0
Shri Vijay Bhatt	Independent Director, Member	0	0
Shri Satish Sekhri	Independent Director, Member	0	0

2. Web-link where Composition of CSR committee, CSR Policy and CSR projects approved by the board are disclosed on the website of the company: www.jkfilesandengineering.com.

3. Details of Impact assessment of CSR projects carried out in pursuance of sub-rule (3) of rule 8 of the Companies (Corporate Social responsibility Policy) Rules, 2014, if applicable (attach the report): **NA**

4. Amount available for set off in pursuance of sub-rule (3) of rule 7 of the Companies (Corporate Social responsibility Policy) Rules, 2014 and amount required for set off for the financial year, if any: **NA**

5. Average net profit of the company as per section 135(5): Rs. 4250 Lakh

6. (a) Two percent of average net profit of the company as per section 135(5): Rs. 85 Lakh
   (b) Surplus arising out of the CSR projects or programmes or activities of the previous financial years: NIL
   (c) Amount required to be set off for the financial year, if any: NIL
   (d) Total CSR obligation for the financial year (6a+6b-6c): Rs. 85 Lakh

7. (a) CSR amount spent or unspent for the financial year:

Total Amount Spent for the Financial Year (in Rs.)	Amount Unspent (in Rs.)				
	Total Amount transferred to Unspent CSR Account as per section 135(6)		Amount transferred to any fund specified under Schedule VII as per second proviso to section 135(5)		
	Amount	Date of transfer	Name of the Fund	Amount	Date of transfer
85 Lakh	NIL	NA	NA	NIL	NA

(b) Details of CSR amount spent against ongoing projects for the financial year: NIL
(c) Details of CSR amount spent against other than ongoing projects for the financial year:

Name of the Project	Item from the list of activities in Schedule VII to the Act	Local area (Yes/ No)	Location of the project		Amount spent for the project (in Rs.)	Mode of Implementation - Direct (Yes/No)	Mode of Implementation - Through Implementing Agency	
			State	District			Name	CSR Registration number
Contribution to expenditure of Tirumala School Project.	Promoting education	Yes	Andhra Pradesh	Tirumala	63 Lakh	No	Smt. Sulochanadevi Singhania School Trust	CSR00000006
Contribution to provide climate resilient agriculture, encourage Mixed/Intercropping Systems, Revive Millets and ensure Dietary Diversity, Promote Awareness on Water Recharge, Safe Drinking Water, and Hygiene and Collaboration with Government and PRIs.	Promoting Health Care and Employment enhancing skills	Yes	Jharkhand	Ranchi	7 Lakh	No	Karra Society for Rural Action (KSRA)	CSR00013736
Contribution by providing shelter/orphanage to a girl child who is abandoned or is a rape victim and help under privileged children become responsible and recognizable citizens of shining India/World	Promoting empowering women, setting up homes and hostels for women and orphans	Yes	Madhya Pradesh	—	5 Lakh	No	Little Star Foundation (LSF)	CSR00000525
Contribution to provide machines that carries out maintenance dialysis for renal failure patients who require dialysis atleast twice a week.	Promoting health care including preventive health care	Yes	Tamil Nadu	Keelkattalai	5 Lakh	No	Melvin Jones Memorial Charitable Trust (MJMCT)	CSR00000784
Contribution to support repairing expenses of below	Promoting education and	Yes	Maharashtra	Mumbai	3 Lakh	No	Rayat Shikshan Sanstha (RSS)	CSR00000792

mentioned premises of the school "Tatya Ravji Vidhyalay Tadsar Tal - Kadegaon Dist -Sangli	vocation skills especially among children							
Contribute by providing support poor and needy children by providing nutritious meals every month.	Promoting Health Care.	Yes	Maharashtra	Mumbai	2 Lakh	No	Nawaz and Gautam Singhania Foundation (NGSF)	CSR00034131

(d) Amount spent in Administrative Overheads: Nil
(e) Amount spent on Impact Assessment, if applicable: Not applicable
(f) Total amount spent for the Financial Year (8b+8c+8d+8e): Rs. 85 Lakh
(g) Excess amount for set off, if any

Sl. no.	Particulars	Amount (in Rs. Lakh)
i.	**Two percent of average net profit of the company as per section 135(5)**	**85**
ii.	Total amount spent for the Financial Year	85
iii.	Excess amount spent for the financial year [(ii)-(i)]	0
iv.	Surplus arising out of the CSR projects or programmes or activities of the previous financial years, if any	0
v.	Amount available for set off in succeeding financial years [(iii)-(iv)]	0

8. (a) Details of Unspent CSR amount for the preceding three financial years: **NA**
(b) Details of CSR amount spent in the financial year for ongoing projects of the preceding financial year(s): **NA**

9. In case of creation or acquisition of capital asset, furnish the details relating to the asset so created or acquired through CSR spent in the financial year: **NA**

10. Specify the reason(s), if the company has failed to spend two per cent of the average net profit as per section 135(5): **NA**

Shri Balasubramanian V.
Managing Director
DIN: 05222476

Smt. Rashmi Mundada
Chairman – CSR Committee
DIN: 08086902

CONTENTS OF CORPORATE SOCIAL RESPONSIBILITY POLICY

The CSR initiatives focus on holistic development of host communities and create social, environmental and economic value to the society.

The Company's commitment to CSR projects and programmes will be by investing resources into any of the following areas:

- ✓ Eradicating hunger, poverty and malnutrition;
- ✓ Promotion of healthcare including preventive healthcare;
- ✓ Promotion of education and employment-enhancing vocational skills;
- ✓ Ensuring environmental sustainability and animal welfare including measures for reducing inequalities faced by socially & economically backward groups;
- ✓ Other focus areas as may be reviewed and included by CSR Committee, from time to time, in line with provisions of Act and in line with the emerging societal circumstances and in consideration of changing national priorities of the government.

ANNEXURE - C

CONSERVATION OF ENERGY, TECHNOLOGY ABSORPTION, FOREIGN EXCHANGE EARNINGS & OUTGO

[Section 134(3) (m) of the Companies Act, 2013 read with Rule 8(3) of the Companies (Accounts) Rules, 2014]

A) CONSERVATION OF ENERGY:

1. Under the Green Energy initiative, the Company has installed and commissioned a "Solar Power Generation system" of 100 KW in FY 2015-16 at Chiplun. In FY 2024-25, the Company generated green power of **50.00 MWh** thereby achieving a **reduction of 36.35 MT of CO2.**
2. We have planted trees like medicinal plants, fruit plant and flowering plant to improve biodiversity in premises. **778 trees** have survived up to March 2025, which achieves the **reduction of 19.45 MT CO2.**
3. In addition to the above, various initiatives were taken during FY 2024-25 at the manufacturing units of the Company. These initiatives resulted in saving electricity and the total savings achieved during FY2024-25 was Rs. 18.37 Lakh.

Sr no	Cost saving initiatives	Project Category	Plant	CO2 Reduced in MT	Total savings for FY 24-25 (Rs Lacs)
1	Renewable energy (Solar)	Energy conservation	Chiplun	50.22	5.84
2	40W M/c lamp replacing with 5W LED lamp	Energy conservation	Chiplun	16.08	2.58
3	50 HP Energy efficient Motor	Energy conservation	Chiplun	58.15	9.35
4	120W MI lamp replacing with 100W LED	Energy saving	Chiplun	3.65	0.58

B) TECHNOLOGY ABSORPTION:

1. New machines/ Development in machine:
   Various cost saving initiatives were taken through development in machine & fixtures at various plants of the Company. Savings achieved during FY 2024-25 were Rs. 31.98 Lakhs. Details are given as under:

Sr no	Cost saving initiatives FY 24-25	Project Category	Plant	Total savings for FY 23-24 (Rs Lacs)
1	Process improvement of 6" regular taper file by change in specifications of RM & decarb free material. Approx. 59K dozen in year	Process Improvement	Vapi	3.18
2	Process improvement of 8" Mill file by importing punched blank material. Approx. 20K dozen in year	Process Improvement	Chiplun	2.80
3	Development of Straightening machine which helps to improve productivity.	New Development	Chiplun	2.70
4	Outsourcing of less critical operations like cropping, punching, Annealing from ancillary	Process improvement	Vapi	6.5
5	Automation for gang hardening of Flat/Mill files Phase 2	Productivity Improvement - Energy Saving	Chiplun	15.0
6	Development of multi-station servo operated BS4 Machine	Productivity Improvement	JKTL	1.80

2. New Product & Packaging Development:
   The Company developed 74 new products which generated revenue of Rs. 183.55 Lacs in FY 2024-25.

   Revenue Contribution NPDs

Sr No	New Product Development Category	Market	Revenue Rs. Lacs
1	Multi cut files	Export	1.24
2	Block file for machine use	Domestic	2.6
3	New brand launching - Rock	Domestic	5.29
4	Developed in special cut specification - Precision Needle files	Domestic	2.7
5	New product introduced with metal handle	Export	3.09
6	New size development	Export	15.31
7	New packaging - Primary & secondary with new design artworks & special pallet packing. Rectangular files are with radius type shoulder	Export	67.99
8	Special teeth specification for Needle Files	Export	0.27
9	New customer on board with New packaging - Primary & secondary with new design artworks & special pallet packing. Rectangular files are with radius type shoulder	Export	85.06

3. In case of imported technology (imported during the last three years reckoned from the beginning of the financial year):

   None.

C) FOREIGN EXCHANGE EARNINGS AND OUTGO:

During the year under review, the Company had Rs. 203.46 Crores (Previous Year: 162.34 Crores) as earnings in foreign exchange and the outgo in foreign exchange was Rs. 66.22 Cr (Previous Year: 72.38 Crore).

FORM AOC-I

(Pursuant to first proviso to sub-section (3) of section 129 read with Rule 5 of Companies (Accounts) Rules, 2014)

Statement containing salient features of the financial statement of subsidiaries/associate companies/joint ventures

Part "A": Subsidiaries

(Information in respect of each subsidiary to be presented with amounts in Rs.)

1	Name of the subsidiary	JK Talabot Limited	Ring Plus Aqua Limited	Maini Precision Products Limited	Scissors Engineering Products Limited
2	Reporting period for the subsidiary concerned, if different from the holding company's reporting period	N.A.	N.A.	N.A.	N.A.
3	Reporting currency and Exchange rate	INR	INR	INR	INR
4	Share capital	8,05,44,000	7,75,66,710	10,48,77,000	18,13,13,650
5	Reserves & surplus	4,46,29,000	2,09,05,71,000	3,17,35,76,000	(17,96,23,790)
6	Total assets	17,88,21,000	9,59,16,96,000	9,16,31,93,000	18,00,000
7	Total Liabilities	5,36,48,000	7,42,35,58,000	5,88,47,40,000	1,10,000
8	Investments	-	6,82,48,46,000	-	-
9	Turnover	32,26,67,000	4,26,49,02,000	9,71,34,29,000	-
10	Profit /(Loss) before taxation	38,90,000	8,32,28,000	59,54,00,000	(72,000)
11	Provision for taxation	10,60,000	2,68,37,000	16,72,94,000	-
12	Profit after taxation	28,30,000	5,63,91,000	42,81,06,000	(72,000)
13	Proposed Dividend	NIL	NIL	NIL	NIL
14	% of shareholding	90%	89.07%	52.57%	100%

Notes: The following information shall be furnished at the end of the statement:

1. Names of subsidiaries which are yet to commence operations: **NA.**
2. Names of subsidiaries which have been liquidated or sold during the year: **NA.**

Part "B": Associates and Joint Ventures

Statement pursuant to Section 129(3) of the Companies Act, 2013 related to Associate Companies and Joint Ventures

The Company has no associate companies/Joint venture companies.

For and on behalf of the Board of Director
JK Files & Engineering Limited

RAVIKANT UPPAL	**BALASUBRAMANIAN V.**
CHAIRMAN	**MANAGING DIRECTOR**
DIN: 00025970	**DIN: 05222476**
ARUN AGARWAL	**HIREN SONAWALA**
CHIEF FINANCIAL OFFICER	**COMPANY SECRETARY**

Mumbai
May 07, 2025